DSEH004 Performance Management and Employee Engagement

Week 6 | Lecture 3 | Unit I to Unit II bridge

Scale, Pivot, Persist or Stop

The psychology of course correction in performance management change

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Commit before theory

Six months into a new check-in system, adoption is 45 percent and managers complain. The CHRO who launched it wants to double the training budget. What is your instinct?

A Back the CHRO; change takes time

B Pause and diagnose why adoption is low before spending more

C Stop the system; the data have spoken

D Make check-ins compulsory and track compliance

Lewin: change is a three-step process

Unfreeze

Create a felt need for change; disconfirm the old way

Move

Introduce new behaviors, structures and routines

Refreeze

Stabilize the new pattern through norms, rewards and systems

Course corrections often fail because leaders try to move before people have unfrozen, then read resistance as failure

Escalation: why leaders persist too long

1 Personal responsibility

Staw (1976): people who made the original decision invested more after negative results

2 Sunk cost

Arkes and Blumer (1985): past spending wrongly shapes future choices

3 Many causes

Sleesman et al. (2012): project, psychological, social and structural factors all feed escalation

The person who launched the initiative is the worst-placed person to judge whether to continue it alone

Is resistance the problem, or the message?

Resistance as disposition

- Oreg (2003): some people resist change more, through routine seeking, emotional reaction, short-term focus and cognitive rigidity
- Implies selection, support and persuasion

VS

Resistance as relationship

- Ford, Ford and D'Amelio (2008): change agents help create resistance through broken agreements and poor communication
- Resistance can carry useful information about design flaws

Before overcoming resistance, ask what it is telling you about the design

Change fatigue: the cost of constant correction

1 What it is

Bernerth et al. (2011): a sense that too much change is happening, measured as a distinct construct

2 Why it matters

Fatigued employees disengage from new initiatives regardless of their merit

3 Design response

Sequence and bundle changes; stop something old when starting something new

Rogers: what makes an innovation spread

Attribute	Question adopters ask	Course correction implication
Relative advantage	Is this better than what I do now?	Show manager-level benefit, not only HR benefit
Compatibility	Does it fit my values and routines?	Adapt the ritual to existing team meetings
Complexity	Is it easy to use?	Cut steps and fields before adding training
Trialability	Can I try it safely first?	Pilot with volunteers before mandates
Observability	Can I see results in others?	Make early adopters visible

A decision grid for course correction

Evidence of early outcomes

Persist and scale

Sound design and good early outcomes: extend carefully, keep measuring

Pivot the design

Good outcomes despite a weak design: find what is really working and rebuild around it

Persist with support

Sound design, weak early outcomes: check adoption, unfreezing and fatigue before judging

Stop

Weak design and weak outcomes: stop, explain and keep the promise you can keep

Evidence that the design itself is sound

Check-ins at an IT services firm

Teaching case (Course framing)

An IT services firm in Bengaluru replaced annual ratings with monthly check-ins. After two quarters, 45 percent of managers log check-ins. High loggers' teams show slightly better retention. Managers say the form has 14 fields and duplicates project reviews. The CHRO launched the change personally.

Work it through

1. Which Rogers attributes explain the low adoption?
2. What escalation risks face the CHRO?
3. Place the initiative on the decision grid and justify it
4. Why is the retention link not yet proof the system works?

Common confusions to avoid

A tempting reading	A better reading
Persistence shows leadership	Persistence without new evidence is often escalation of commitment
Resistance must be overcome	Resistance may carry valid information about design flaws
Low adoption means more training	Low adoption often signals complexity or poor fit, which training cannot fix

Exam-style question

Using escalation of commitment, resistance to change and diffusion theory, advise an HR head whether to scale, pivot, persist or stop a struggling performance management initiative. (20 marks)

What a strong answer does

- Separates design quality from early outcome evidence
- Applies Staw and Sleesman to explain the risk of persisting for the wrong reasons
- Uses Oreg and Ford et al. to interpret resistance in two ways
- Uses Rogers' attributes to propose specific design changes and a decision rule

Sources

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